Own your errors

When you make a trade that turns out to be a loser, admit it, own it, and learn from it. Not admitting an error sets up your portfolio for more losses in the future. Ray Dalio's *Principles*[243] is based on the concept that when mistakes happen, they present an opportunity to learn. Those who fail to accept this not only don't improve, they become more likely to fail again.

Holding an investment until it breaks even is merely a way to refuse to acknowledge an error. A sale won't happen unless and until you admit your thesis was wrong.

As I read the *WSJ* article about the Bear Stearns trade gone bad, I immediately thought of the questions the head of my trading desk would ask a newbie trader in a losing position:

1. What is your edge in this trade?
2. Can you catch the proverbial falling knife?
3. Should you let a trade turn into an investment?
4. What is the opportunity cost of sitting in a bad holding?
5. What should you do when you realize a trade is a mistake?
6. What plans do you have if the position works out? What if it goes against you?
7. What should you do when your original reason for owning something is no longer valid?

I haven't been a trader for a long time. Still, the instincts honed over years in trading are never too far away.

Selecting where to put your capital—stocks, fund managers, or advisors—is much harder than it looks. Let's see exactly how hard it is.